

EG Geoeconomics: Escalation in the Middle East tests global resilience buffers

送信者: EG Geoeconomics 受信日時: 2026-07-23 18:10

[【メール原文】](#)

Geoeconomics

23 Jul 2026 05:07 EDT

Escalation in the Middle East tests global resilience buffers

READ FULL REPORT

* The global macroeconomic and market impact of the Middle East conflict has proven more limited than anticipated, but the factors that contained it are to an extent one-offs that won't necessarily repeat.

* Growth remains resilient globally, supported by AI-driven investment and fiscal tailwinds—but only provided geopolitical risks remain contained.

* Underlying inflationary pressures are persistent across developed markets, and monetary policy is set to remain tighter than the pre-war baseline, even if oil prices fall back.

The macroeconomic and market impact of the Middle East conflict has proven more limited than anticipated. That is driven by less commodity market dislocation than feared; greater supply chain resilience, reflecting reduced energy intensity, expanded alternative transport infrastructure, and better corporate supply chain management; and by policy responses that have, by and large, avoided the inflation-stoking fiscal overreach and credibility risks that were a key concern for markets earlier in the crisis. But many of the factors that helped contain this crisis are one-offs that won't all be available next time.

The growth outlook remains resilient, supported by AI-driven investment and ongoing fiscal tailwinds, provided geopolitical risks remain contained. Tariff volatility has diminished following the IEEPA ruling, US-China relations remain on a stable path, and strong demand and earnings growth continue to provide an offsetting anchor for financial markets.

Underlying inflationary pressures are persistent across developed markets, and monetary policy is set to remain tighter than the pre-war baseline even if oil prices fall back. The broader takeaway is structural: central banks are continuing the transition away from the post-GFC policy framework of near-zero policy rates, forward guidance on future rates, and central bank balance sheet expansion. The implication is greater reliance on industrial policy and less room for counter-cyclical macro policy when the next shock

hits.

READ FULL REPORT

For assistance, email salesops@eurasiagroup.net

EG Geoeconomics

geoeconomics@eurasiagroup.net

Jens Larsen

Practice Head, Geoeconomics

+44-207-375-6924

larsen@eurasiagroup.net

Pietro Guglielmi

Analyst, Geoeconomics

+44 207 375 6937

guglielmi@eurasiagroup.net

Henning Gloystein

Managing Director, Energy & Resources

+44 (0)73 898 444 98

gloystein@eurasiagroup.net

Neil Weller

Director, Fixed Income Strategist

+44 20 7375 6939

weller@eurasiagroup.net

Lucy Eve

Director, Geoeconomics

+44 (0)207.375.6927

eve@eurasiagroup.net

Babak Minovi

Senior Analyst, Geoeconomics

+1-703-409-8190

BMinovi@eurasiagroup.net

Robert Kahn

Managing Director, Global Macro

+1 202.903.0011

kahn@eurasiagroup.net

Marília Sírío

Contractor, Geoeconomics

Sirio.ne@eurasiagroup.net

PDF or Print | Get the EG iOS or Android mobile Apps for content on the go

Explanation of Political Trajectories (ie, "Trajectories")

Eurasia Group's (EG) Political Trajectories are indicators of the net impact of political factors on the macro business environment in a country over specific timeframes. For each country, two Trajectories are provided, a short-term (6 months) and a long term assessment (24 months). Trajectories are assigned by Eurasia Group's country analysts through a structured qualitative process. Each Trajectory represents a net assessment, indicating how political changes in a country impact the macro business environment, defined as the economic and investment climate in the country. Once initiated, Trajectories are updated both periodically and as events warrant. Trajectories may be suspended from time to time if there is no active analyst opinion or analyst coverage, but the opinion or coverage is expected to resume. Trajectories can be:

Positive: Political factors in the country are anticipated to have a positive impact on the macro business environment

Neutral: Political factors in the country are anticipated to have a neutral or negligible impact on the macro business environment

Negative: Political factors in the country are anticipated to have a negative impact on the macro business environment

Disclaimers: Trajectories are solely for informational purposes and should not be relied upon as investment advice. Trajectories do not indicate asset price movements, and have no value in forecasting market prices. Trajectories are based on data and analysis we deem to be reliable; they are not guaranteed as to accuracy or completeness. The Trajectories indicate the political outlook in a single country, over time. Trajectories do not address sector-specific or city/regional political risks that are often different than the country-level outlook. Trajectories represent an analyst's net qualitative assessment of a country's political outlook. EG sales, analytic staff and products may provide analysis reflecting different opinions than those expressed by the Trajectories.

© 2026 Eurasia Group. All rights reserved. This material was produced by Eurasia Group for use by the recipient. This is intended as general background research and is not intended to constitute advice on any particular commercial investment or trade matter or issue and should not be relied upon for such purposes. It is not to be made available to any person other than the recipient. No part of this publication may be reproduced, stored in a retrieval system, or transmitted in any form or by any means, electronic or otherwise, without the prior consent of Eurasia Group.

X-WF-DocID wfpub_eurasia_26921_7e51a5c0

To manage your email preferences [click here](#) | To manage your research content alerts [click here](#)